

Ichor Holdings

Critical fluid delivery subsystems for wafer fab equipment □ Initiation of coverage and C

ICHR : NASDAQ | Semiconductor Equipment Subsystems | 2 August 2026

1 EXECUTIVE SUMMARY

Market cap: USD 2.5-2.7bn (approx. 2.62bn at 31 Jul close)	Share price: USD 75.27 (31 Jul 2026 close); 52wk 13.12-113.58
Shares out (basic): 34.87m; diluted approx. 35.3-35.6m	Revenue (TTM): USD 959.3m; FY2025 USD 947.7m (+11.6% YoY)
Q1 2026 revenue: USD 256.1m (+15% QoQ, +4.7% YoY)	Q1 2026 gross margin: 12.6% GAAP / 12.8% non-GAAP
Q1 2026 EPS: USD (0.07) GAAP / USD 0.15 non-GAAP	Q2 2026 guidance: Rev USD 290-310m; GM 13-14%; non-GAAP EPS 0.25-0.35
Consensus (Q2): Rev USD 300.3m; non-GAAP EPS USD 0.31	Next print: Monday 3 August 2026, after market close
Balance sheet: Cash USD 89.1m; total debt USD 122.0m (as at 27 Mar 26)	Customer concentration: Lam Research + Applied Materials = 76% of FY25 sales
Forward P/E: approx. 42.5x (vs UCTT 24.6x, MKSI approx. 25-27x)	HQ / incorporation: Fremont, California / Cayman Islands

ELI5 — What Ichor actually sells

A chip-making machine is like an industrial kitchen. Applied Materials and Lam Research build and sell the kitchen. Ichor builds the plumbing: the network of pipes, valves, flow meters and mixing manifolds that delivers exactly the right amount of exotic gas or corrosive liquid, at exactly the right moment, to the cooking surface. The plumbing is not glamorous, but if it leaks, contaminates, or mis-doses by a fraction of a percent, the entire batch of chips is scrap. Ichor does not sell to chipmakers like TSMC or Samsung. It sells to the machine builders, which means its revenue is a first derivative of how many tools those builders are shipping this quarter.

Ichor Holdings sits one layer below the wafer fab equipment (WFE) original equipment manufacturers (OEMs) in the semiconductor capital equipment supply chain. It designs and manufactures gas delivery subsystems, chemical delivery subsystems, precision-machined components and weldments that are designed into the etch, deposition and lithography tool platforms sold by Lam Research, Applied Materials and ASML. Two customers accounted for 76% of FY2025 sales. That concentration is the defining structural feature of the business: it delivers powerful operating leverage into a WFE upcycle and equally powerful de-leverage out of one.

The core investment thesis is a margin-mix story layered on top of a volume cycle. Ichor is transitioning from a low-margin contract integrator, which buys third-party valves and mass flow controllers and assembles them onto a panel, into a supplier of its own proprietary components — advanced flow controllers, high-purity valves, seals, fittings and substrates — where its next-generation gas panels are targeted at roughly 80% Ichor-owned content versus about 10% historically. Management is targeting Ichor-branded content of 35% of the panel by end-2026 from 25% at end-2025. If that mix shift lands while WFE runs at the low-USD-150bn level the industry is now forecasting, gross margin moves from the 12-13% trough band toward the mid-to-high teens on a revenue base that could approach USD 1.3-1.4bn annualised — an earnings profile several multiples of today's. If the mix shift stalls, Ichor is a 13%-gross-margin assembler trading at 42x forward earnings.

On the immediate question — will the second quarter beat? Our modal outcome is yes, but modestly, and by a margin that is smaller than the conversation about the third-quarter guide. Consensus revenue of USD 300.3m is almost exactly the midpoint of management's USD 290-310m guide, which means the sell side has done no independent work and is simply plugging the company's own number. Against that mechanical bar we see revenue of roughly USD 305-310m and non-GAAP earnings per share (EPS) of USD 0.33-0.35

against a USD 0.31 consensus, with gross margin the single variable that decides the size of the beat. Section 7 sets out the full distribution and the attribution. The more important point for positioning is that on 4 May the company beat on revenue, beat on EPS, and guided the following quarter roughly 12% above consensus — and the stock fell 10% that afternoon. Beating is not the trade. The Q3 guide is.

2 TECHNOLOGY DEEP-DIVE

ELI5 — Why delivering a gas is hard

Imagine you have to pour exactly one drop of water per second into a cup, for thirty seconds, and the drop size must never vary by more than one part in ten thousand. Now do it with a gas instead of water, at a pressure that changes as the tank empties, using a metal pipe that must not shed a single microscopic metal particle into the flow, with a gas so corrosive it eats stainless steel. Then do it again fifty times a day for ten years without drifting. That is a gas panel. The reason chipmakers pay for this rather than building it themselves is that a 1% dosing error on a 3-nanometre etch step does not make a slightly worse chip; it makes a dead wafer worth tens of thousands of dollars.

2.1 The physics of the problem

Semiconductor etch and deposition are gas-phase chemical reactions run at pressures typically in the range of a few millitorr to a few torr. The reaction rate, the etch profile, and the deposited film's thickness uniformity are all direct functions of the partial pressures of the reactant species at the wafer surface. A gas delivery subsystem — colloquially a gas panel or gas box — is the assembly that takes bulk gases from the fab's house supply and converts them into a metered, sequenced, contamination-free flow into the process chamber.

Three engineering constraints dominate. First, metrology: flow must be measured and controlled to fractions of a standard cubic centimetre per minute (sccm), across a dynamic range spanning several orders of magnitude, while the upstream pressure varies. Second, purity: every wetted surface must be electropolished to sub-micron roughness and passivated, because a shed particle or an outgassed hydrocarbon molecule becomes a defect on the wafer. Welds are therefore done by orbital, electron-beam or laser methods under inert atmosphere, and joints are metal-to-metal face seals rather than elastomer O-rings wherever possible. Third, speed: modern atomic layer deposition (ALD) and atomic layer etch (ALE) processes pulse precursor and purge gases in cycles lasting well under a second, so the valve and controller must switch cleanly with minimal dead volume — residual gas trapped downstream of the shut-off point that continues to bleed into the chamber after the valve closes, smearing the pulse.

That third constraint is where Ichor's proprietary technology is aimed. In a conventional design, the mass flow controller (MFC) — the metering device — sits upstream of a separate positive shut-off valve, so the volume of pipe between them is dead volume. Ichor's advanced flow controller (AFC) integrates the flow restrictor into the downstream shut-off valve itself, collapsing that dead volume. The company reports on/off response of under 100 milliseconds with no pressure burst on actuation, controllable flow down to 0.01 sccm, and insensitivity to inlet and outlet pressure variation. The practical consequences are a physically smaller gas box, fewer discrete components, and cleaner pulse fidelity for ALD and ALE — and, for Ichor, the capture of the MFC's margin, which historically flowed to third parties such as MKS, Horiba and Bruker.

2.2 Product portfolio

Product line	What it is / key specifications	Competes against
Gas delivery subsystems (gas panels / gas boxes)	Integrated manifold assembly delivering, metering and sequencing process gases for etch, deposition and related steps. Historically approx. 10% Ichor-owned content; next-generation panels targeted at approx. 80% proprietary content. Management target: 35% Ichor-branded content by end-2026 vs 25% at end-2025.	Ultra Clean Holdings (UCTT); OEM in-house build; Japanese and Korean regional integrators
Advanced flow controller (AFC)	Patented mass flow technology replacing conventional MFCs. Flow restrictor integrated into downstream positive shut-off valve. On/off response under 100ms, no burst, lowest controllable flow 0.01 sccm, insensitive to inlet/outlet pressure. Enables gas box size and component-count reduction.	MKS Instruments (MKS) MFC franchise; Horiba STEC; Bruker (ex-Brooks) flow products; Fujikin
High-purity valves, seals, fittings, substrates	Diaphragm valves, TMX C-Seal face-seal technology, gas-stick substrates and fittings. Qualified across weldment and gas panel applications. Backward compatible, so they can be retrofitted into panels already in production.	Swagelok; Fujikin; Parker Hannifin; Ham-Let; Entegris (fluid handling)
Chemical delivery subsystems	Blending and dispensing skids for reactive liquid chemistries used in chemical-mechanical planarisation (CMP), electroplating and wet clean. Plastic-wetted-path construction rather than metal.	UCTT; CKD; regional wet-process integrators; OEM in-house
Precision machining and weldments	Large- and small-format CNC machining, e-beam and laser welded assemblies, precision vacuum and hydrogen brazing, surface treatment. Chamber-adjacent and process-critical hardware. Acquired scale via IMG Companies (Nov 2021). Extends into aerospace and defence machining.	Fragmented private machine shops; UCTT (Ham-Let/Cinos); Frontgrade and regional A&D machining suppliers

2.3 Why this cycle changes the demand profile

ELI5 — Why AI memory means more plumbing per machine

Old-style chip layers were built like a bungalow: a few floors, a few pipes. AI-era memory is a skyscraper — 3D NAND flash is now stacked past 256 layers, and high-bandwidth memory (HBM) stacks whole chips vertically. Every extra floor needs another round of etch and deposition, and every one of those steps needs its own metered gas recipe. So the number of process steps per finished wafer has gone up far faster than the number of wafers. Ichor gets paid per process module, not per wafer — so the skyscraper is worth much more to Ichor than the bungalow ever was.

Three compounding effects are lifting Ichor's content and volume simultaneously. First, step-count intensity. 3D NAND scaling proceeds by adding word-line pairs rather than shrinking lithographic features, and each additional layer pair adds deposition and high-aspect-ratio etch steps. Lam Research reported that its NAND systems revenue doubled sequentially in the June 2026 quarter as memory makers moved to 256-layer and beyond. Gate-all-around (GAA) transistor architectures in logic and the shift toward selective and atomic-layer processing add further steps in foundry. Each incremental etch or deposition module is a new tool shipment, and every tool shipment carries at least one gas panel.

Second, chamber count and gas-line count per tool. Multi-chamber cluster tools and the multi-precursor chemistries used in ALD and selective deposition mean more gas sticks per panel. A gas panel's cost scales roughly with the number of gas lines it carries, so a chemistry that needs eight precursors rather than four is close to a doubling of Ichor's average selling price (ASP) on that module even before any pricing action.

Third — and this is the specifically Ichor-relevant lever — proprietary content capture. On a legacy panel, roughly 90% of the bill of materials is bought-in: MFCs, valves, regulators, fittings. Ichor's economics on that portion are closer to a distribution margin than a manufacturing margin. As AFCs, valves, seals and substrates displace third-party parts, the same physical panel converts from approximately 10% owned content to a targeted approximately 80%. Management's stated framework is a return to mid-teens gross margin on a USD 250m quarterly run rate, with further expansion above that as the mix shifts. Ichor is now running above that revenue threshold — Q1 2026 was USD 256.1m at 12.8% non-GAAP gross margin — so the next several quarters are the direct test of whether the mix thesis is real or whether the incremental

margin is being consumed by ramp costs and external sourcing.

The quantified version: the wafer fab equipment market that Ichor serves is now forecast by Lam Research at the low-USD-150bn level for calendar 2026, raised from USD 140bn in April and USD 135bn in January. SEMI's own figure was USD 143.9bn (+23.1% year on year) with DRAM equipment up 39% and NAND equipment up 30.7%; SEMI's July mid-year forecast projects WFE breaking USD 200bn by 2028. These are industry-body and vendor forecasts and should be read as directional rather than as precise estimates. Against a mid-cycle Ichor revenue base of roughly USD 850-950m, a WFE market moving from USD 110-115bn to low-USD-150bn implies revenue capacity well above USD 1.2bn before any content gain is counted.

3 SUPPLY CHAIN MAPPING

ELI5 — Ichor is the meat in the sandwich

Ichor buys expensive precision parts from a small number of specialist makers, bolts them together into a system, and sells that system to two enormous customers. It is squeezed from both sides: its suppliers have pricing power because there are few of them, and its customers have pricing power because there are only two of them. The entire strategic project of the last five years — making its own valves, seals and flow controllers — is an attempt to remove one of those two squeezes.

3.1 Upstream dependencies

Input	Who supplies it	Concentration / single-source risk
Mass flow controllers (MFCs)	MKS Instruments, Horiba STEC, Bruker (former Brooks Instrument), Fujikin	High. Historically the single largest bought-in line item on a gas panel and a meaningful share of panel cost. Often specified by the OEM customer rather than chosen by Ichor, which removes Ichor's ability to negotiate. The AFC programme is the direct response.
High-purity valves and regulators	Fujikin, Swagelok, Parker Hannifin, Ham-Let, CKD	Moderate to high. Japanese suppliers dominate the highest-purity segment. Ichor is now qualified on its own high-purity valves, which reduces but does not eliminate the dependency during the transition.
Seals, fittings, substrates	Swagelok, Entegris fluid handling, Ichor internal (TMX C-Seal)	Falling. These are the categories where Ichor has already achieved qualification on its own parts, and they are backward compatible into panels already in production.
Stainless steel bar stock, tube, forgings; specialty alloys	Global specialty steel mills and service centres	Low single-source risk but real input cost sensitivity. High-purity electropolish-grade 316L stainless is a commodity with a cyclical price and a lengthening lead time in an equipment upcycle.
Machining and fabrication capacity	Internal (US, Malaysia, Mexico, Singapore) plus contract machine shops	This is the live issue. Management has been explicit that external supplier reliance persists while the Mexico operation ramps, and that supply chain constraints have limited the ability to fully meet customer demand. Ichor is currently supply-constrained rather than demand-constrained.
Plastics and fluoropolymer wetted paths (chemical delivery)	Specialty fluoropolymer converters	Moderate. Smaller revenue line; PFAS regulatory pressure in the EU is a medium-term watch item for fluoropolymer availability.

3.2 Geographic footprint and exposure

Ichor manufactures in the United States, Singapore, Malaysia and Mexico, with the footprint deliberately located near customer assembly sites to support just-in-time delivery. As of 26 December 2025 the company employed approximately 1,891 full-time and 557 temporary staff — the temporary component is the deliberate flex mechanism for a cyclical business. Three exposures deserve flagging.

- Mexico ramp execution. The newest node is also the one management has repeatedly cited as the reason external supplier reliance persists. Until Mexico absorbs the volume it was built for, Ichor is buying machined content it intended to make, at a lower margin, and is capacity-limited at the top line.
- Singapore tax. The expiry of Ichor's Singapore tax holiday, together with a US deferred tax valuation allowance and the geographic mix of taxable income, drove a sharply elevated effective tax rate in Q1 2026. This is structural, not a one-off reversing item, and it is the reason GAAP and non-GAAP EPS have diverged so widely.
- Malaysia machining. Management has been investing in Malaysian machining capacity and growing an aerospace and defence machining business alongside it. This is the principal diversification away from the two-customer semiconductor concentration, but it is small relative to the core today.
- No long-term volume contracts. Ichor operates on a purchase-order basis with its customers and has no contractual minimum volumes. Design-in provides the stickiness; paper does not.

Input cost sensitivity is asymmetric in Ichor's favour on the way up and against it on the way down. Because bought-in content is roughly 90% of a legacy panel's bill of materials, gross margin is highly levered to the mix between owned and bought-in content and only lightly levered to raw material prices. A 100 basis point move in steel does very little; a 10 percentage point move in proprietary content share does a great deal.

4 COMPETITIVE LANDSCAPE

ELI5 — A two-horse race with a giant watching

In outsourced gas panels there are really two credible independents at scale: Ichor and Ultra Clean. Ultra Clean is roughly twice Ichor's size and more diversified. Hovering above both is MKS Instruments, which does not compete for the assembly work but sells the single most valuable part that goes inside the panel. Ichor's proprietary-content strategy is therefore simultaneously a margin play against its customers and a land grab against its own supplier.

Company	HQ	Revenue (TTM)	Position / share	Key differentiator	Weakness vs Ichor
Ichor Holdings (ICHR)	Fremont, CA (Cayman inc.)	USD 959m	No.2 independent gas panel integrator; est. 25-35% of the outsourced gas panel segment (directional)	Deepest proprietary component roadmap: AFC, valves, seals, substrates; vertical machining via IMG	(subject company)
Ultra Clean Holdings (UCTT)	Hayward, CA	USD 2.07bn	No.1 independent; broader subsystem scope plus a services segment	Scale: footprint supports approx. USD 3bn revenue today, USD 4bn with modest capex; 30%-gross-margin services annuity; 16.5% total gross margin vs Ichor 12.8%	Thinner proprietary component IP in flow control; larger fixed base means less percentage torque per incremental dollar
MKS Instruments (MKS)	Andover, MA	approx. USD 4.5-4.8bn (FY26E)	Dominant merchant MFC, vacuum and pressure supplier; supplier to Ichor as well as a competitor at the component layer	Owns the highest-value component in the panel; ~25-27% gross margin profile at group level; three-division diversification into photonics and materials	Does not compete for panel assembly, so has no incumbency on the integration work; conflicted selling components to a customer building a substitute
OEM in-house build (Lam, Applied)	Fremont, CA / Santa Clara, CA	n/a (captive)	Retains an internal build option on select platforms	Total control of design and margin capture; can insource in a downturn to absorb its own fixed cost	Structurally disadvantaged on cost and flexibility; outsourcing exists because OEMs prefer variable-cost capacity in a cyclical business

Company	HQ	Revenue (TTM)	Position / share	Key differentiator	Weakness vs Ichor
Fujikin / CKD / regional integrators	Osaka and Komaki, Japan	Private	Strong in Japan and Korea; component-led rather than integration-led	Best-in-class ultra-high-purity valve metallurgy and long OEM relationships in Japan	Limited US and European integration presence; component vendors rather than full subsystem partners

4.1 The moat

Ichor's moat is qualification, not patent. A gas panel is designed into a specific tool platform during the OEM's new product introduction cycle, and the tool-level evaluation to qualify a new panel or a new component within it typically runs about nine months. Once qualified, the part is written into the tool's bill of materials, and any subsequent change requires re-qualification and, downstream, potential process re-qualification at the chipmaker's fab. That is a switching cost measured in quarters and in yield risk, not in price. It is reinforced by early engagement: Ichor embeds account and engineering staff near customer sites and collaborates on panel architecture before the tool is frozen, which converts a procurement relationship into a design relationship.

The secondary and more durable moat under construction is the proprietary component portfolio. A qualified AFC or high-purity valve is protected by the same nine-month qualification barrier as the panel, but earns a component margin rather than an assembly margin, and — critically — is backward compatible into panels already shipping. That gives Ichor a retrofit path that does not require winning a new platform design.

4.2 The most credible threat

The threat is not Ultra Clean taking share; the two have coexisted for two decades and the OEMs deliberately dual-source. The most credible threat is MKS Instruments defending the flow-control layer. MKS owns the incumbent MFC franchise, has far greater R&D scale, and has every commercial incentive to prevent Ichor's AFC from becoming a qualified second source at Lam and Applied. MKS can respond on price, on integrated flow-and-pressure packages that Ichor cannot match, or by leaning on its own OEM relationships during qualification. Because the entire gross margin expansion thesis rests on displacing MKS content, a successful MKS defence does not slow Ichor down — it removes the thesis. The observable metric is the Ichor-branded content percentage: 25% at end-2025, targeted at 35% by end-2026. If that number is not tracking on the Q2 and Q3 calls, the moat argument weakens materially.

5 MANAGEMENT & GOVERNANCE

ELI5 — What we are testing for

Three questions. Does management own enough stock that they feel what shareholders feel? Do they hit the numbers they promise? And when they have spare cash, do they spend it well? At Ichor the answers are: a little, mostly yes recently, and the jury is still out on the last one.

5.1 Key executives

Executive	Tenure and background	Relevance to the thesis
Philip R. Barros — Chief Executive Officer	Appointed CEO November 2025, so roughly nine months in the seat. Internal promotion; previously ran the technology and product side of the business, having joined via Ichor's component and machining operations. Succeeded Jeff Andreson. Total FY compensation approximately USD 4.61m, of which roughly 10.8% salary and 89.2% bonus, stock and options. Directly owns approximately 165,000 shares, or roughly 0.47-0.51% of shares outstanding.	Positive read. The proprietary-content strategy is the thesis, and the board chose a product and technology operator rather than a financial one to execute it. Continuity of product strategy was explicitly cited at appointment. Against that, nine months is a short guidance track record to underwrite.

Executive	Tenure and background	Relevance to the thesis
Greg Swyt — Chief Financial Officer	Long-serving internal finance executive, elevated to CFO from the group finance function. Directly holds approximately 53,000 shares following a 10b5-1 sale in June 2026.	The guidance architecture in 2026 has been conservative and has been beaten twice. The Q1 pre-announcement of 'at least USD 240m' converted into an actual USD 256.1m, a 6.7% overshoot of the stated floor.
Board and structure	Single class of ordinary shares, par USD 0.0001. Incorporated in the Cayman Islands, headquartered in Fremont, California. Average board tenure approximately 6.3 years; average management team tenure approximately 2.8 years. Originally Celerity Inc. (1999); acquired by Francisco Partners in December 2011; NASDAQ IPO December 2016.	No dual-class structure and no controlling shareholder — a clear positive versus much of the small-cap semiconductor complex. Cayman incorporation is a legacy of the private equity structure and is a tax and, historically, a shareholder-remedy consideration rather than an operational one.

5.2 Guidance accuracy

The recent record is good and has a consistent shape: guide a wide range, land at or near the top of it. Q3 2025 came in above the midpoint of prior guidance. Q4 2025 was pre-announced as revenue and gross margin slightly above the guidance midpoint. The January 2026 preliminary outlook set a Q1 floor of at least USD 240m and the quarter delivered USD 256.1m, with management describing results at the upper end of expectations for revenue, gross margin and EPS simultaneously. Against consensus rather than against guidance, Q1 beat on both lines: revenue USD 256.1m versus USD 251.3m and non-GAAP EPS USD 0.15 versus USD 0.13. The longer history is less flattering — across the trailing four quarters the record is two beats and two misses versus consensus with an average surprise of roughly +3%, and the downcycle quarters of 2024 and early 2025 contain several sizeable misses. Read the current management team's record as beginning around Q3 2025.

5.3 Capital allocation

- Capex discipline is genuine. FY2025 capital expenditure was USD 36.2m, or 3.8% of sales — a capital-light model relative to the revenue it supports. Q1 2026 capex was USD 7.1m.
- M&A has been strategic rather than empire-building. The most significant transaction, IMG Companies in November 2021, bought the precision machining capability that underpins the vertical integration thesis. That is the acquisition doing the work today.
- No dividend and no meaningful buyback. Appropriate for a cyclical with a levered balance sheet, but it means shareholders are underwriting reinvestment with no return of capital floor.
- Restructuring has been active. A 2025 Consolidation Restructuring Plan aligned capacity to demand through the trough and is part of why incremental gross margin off the Q4 2025 bottom has been strong.
- Dilution is the live governance issue. On 18 May 2026 the company filed an automatic mixed securities shelf and launched a USD 200m at-the-market (ATM) equity programme — roughly 7-8% of the current market capitalisation — after the stock had already risen several hundred percent.

5.4 Governance flags

Three items to hold. First, insider selling has been persistent through the run. The CEO exercised options and sold 13,705 shares on 4 June 2026 at a weighted average USD 70.19, reducing his direct holding by 7.67%; he had also sold 21,000 shares in February 2026 at approximately USD 46.63. The CFO sold 6,820 shares on 8 June 2026 at a weighted average USD 66.81. A director sold in May. Aggregate insider activity over the trailing twelve months is net selling in the low single-digit millions of dollars. The mitigating context is real: these were executed under Rule 10b5-1 plans adopted in late February and early March 2026, which is the correct governance mechanism, and much of the CEO's activity was option exercise-and-sell rather than disposal of long-held stock. The uncomfortable context is equally real: insider ownership is modest in absolute terms — the CEO holds under 0.5% — and no insider has bought on the open market during a period in which management has been publicly describing a multi-year upcycle.

Second, the ATM programme. Selling equity into strength is defensible capital management for a company carrying USD 122m of debt and negative free cash flow during a working capital build. It is also a management team telling you what it thinks of its own share price. Watch the Q2 balance sheet and share count for evidence of drawdown.

Third, on 1 April 2026 the Portnoy Law Firm announced an investigation into Ichor on behalf of investors. This is a plaintiff-firm solicitation of the kind that routinely follows a sharp share price decline — in this case the February 2026 Q4 2025 print — and no litigation of substance has been identified. We treat it as noise unless and until a complaint with specific allegations is filed, but it belongs on the record.

Assessment: aligned enough, plausibly competent, and credible on a short leash. The absence of dual-class stock and the internal promotion of a technologist to run a technology-transition strategy are both structurally sound. The combination of low insider ownership, consistent insider selling and a fresh ATM into a 300%-plus rally is not a red flag on its own but does mean this is a management team to be verified quarter by quarter rather than extended the benefit of the doubt.

6 FINANCIAL TRAJECTORY

ELI5 — Reading the shape, not the level

Ichor's absolute profit numbers look poor — the company lost money on a reported basis in 2025. That is the wrong thing to look at. What matters in a cyclical subsystem supplier is the incremental: for every extra dollar of revenue as volume recovers, how many cents fall to gross profit? For Ichor, that number recently ran above 30 cents. Multiply that by a revenue base rising 15-20% per quarter and the profit line changes character very quickly.

Metric	Q4 2025	Q1 2026	Q2 2026 guide	FY2024	FY2025
Revenue (USD m)	223.6	256.1	290-310	849.0	947.7
QoQ growth	n/a	+14.5%	+13-21% (mid +17%)	n/a	n/a
Gross margin, GAAP	9.4%	12.6%	13-14%	approx. 12-13%	approx. 11-12%
Gross margin, non-GAAP	approx. 9.6%	12.8%	13-14%	n/d	n/d
Operating income, GAAP (USD m)	negative	2.1	n/g	negative	negative
Operating margin, non-GAAP	approx. 0.5%	3.4%	n/g	n/d	n/d
Net income, GAAP (USD m)	(16.0)	(2.5)	n/g	(20.8)	(52.8)
EPS, GAAP	(0.46)	(0.07)	0.10-0.20	(0.63)	(1.55)
Net income, non-GAAP (USD m)	0.3	5.3	n/g	n/d	n/d
EPS, non-GAAP	0.01	0.15	0.25-0.35	n/d	n/d

Note: n/g denotes not guided, n/d not disclosed on a comparable basis. FY2024 and FY2025 gross margins are approximations derived from reported full-year figures and are flagged as estimates in the verification log. Ichor's fiscal year ends on the last Friday of December; FY2025 ended 26 December 2025 and Q1 2026 ended 27 March 2026.

6.1 The incremental margin question

The single most useful number in the table above is not a level but a slope. Between Q4 2025 and Q1 2026, revenue rose USD 32.5m while GAAP gross profit rose from approximately USD 21.0m to approximately USD 32.3m — an incremental gross margin of roughly 35%. Some of that is flattered: Q4 2025 was a restructuring-affected trough quarter with poor fixed-cost absorption, so the comparison exaggerates the underlying drop-through. But even discounting to a 25-30% sustainable incremental, guidance of 13-14%

gross margin on USD 290-310m of revenue looks conservative. Applying a 25% incremental to a USD 51m sequential revenue increase would imply gross profit of approximately USD 45.5m on USD 307m, or 14.8% — above the top of the guided range. That gap between the arithmetic and the guide is the central reason we lean toward a beat, and it is quantified in Section 7.

6.2 Balance sheet and cash

- Cash and equivalents USD 89.1m; total debt USD 122.0m as at 27 March 2026. Net debt of roughly USD 33m against a USD 2.6bn market capitalisation is immaterial as leverage but relevant as an interest expense drag on a thin-margin P&L — roughly USD 1.3-1.5m per quarter net.
- Free cash flow was negative USD 10.0m in Q1 2026: operating cash flow of negative USD 2.9m plus USD 7.1m of capital expenditure. The cash outflow is a receivables and inventory build to support the ramp, which is the correct use of the balance sheet in an upcycle but does mean the working capital drag persists while revenue accelerates. Expect Q2 free cash flow to remain negative or barely positive.
- The USD 200m ATM programme announced 18 May 2026 represents potential dilution of roughly 7-8% at current prices. It has not been confirmed as drawn. The Q2 filing's share count and cash balance are the tell.
- Tax is the most under-modelled line. The Q1 effective rate was sharply elevated by the combination of foreign income mix, the expiry of the Singapore tax holiday, and a US deferred tax valuation allowance. The Singapore effect is permanent. Anyone carrying a historic low-20s tax rate into a forward model will overstate EPS materially.
- No goodwill impairment has been taken in the current cycle, in contrast to Ultra Clean, which recorded a USD 151.1m non-cash goodwill impairment in Q2 2025.

6.3 Medium-term targets

Management's stated framework is a return to mid-teens gross margin at a USD 250m quarterly revenue run rate, with expansion beyond that driven by proprietary content adoption and machining business growth. Ichor-branded content is targeted at 35% by end-2026 versus 25% at end-2025, and next-generation gas panels are designed for approximately 80% proprietary content versus approximately 10% on the legacy architecture. No formal multi-year revenue or margin target has been published, and we would treat the 80% panel content figure as an engineering design point rather than a near-term revenue mix forecast — adoption runs at the pace of tool platform refresh cycles, which is years, not quarters.

7 CATALYSTS & RISKS

Catalyst	Timing	Impact	Probability
Q2 2026 results and Q3 guidance	Mon 3 Aug 2026, after close; call 1:15pm PT	The dominant near-term event. Q2 revenue and gross margin test the operating-leverage thesis; the Q3 guide tests whether Ichor converts Lam's +20% sequential September guide into its own order book. Modelled below.	High (confirmed)
Ultra Clean Q2 results, same afternoon	Mon 3 Aug 2026, after close	UCTT reports the same day, removing any peer read-across ahead of the print and creating a same-session sympathy trade in both directions.	High (confirmed)
Applied Materials fiscal Q3 results	Mid-August 2026 (est.)	Second-largest customer. AMAT's October-quarter guide is the read-through to Ichor's Q4 and to whether the two-customer demand base is broadening or concentrating further into Lam.	High
Ichor-branded content reaching 35% of panel	By end-2026 (management target)	The gross margin thesis in a single number. Progress commentary on the Q2 and Q3 calls is the leading indicator; a slip in this figure is a thesis break.	Medium

Catalyst	Timing	Impact	Probability
AFC and proprietary valve qualification wins	Rolling, 2026-2027	Each new tool-platform qualification is a roughly nine-month process that, once cleared, converts assembly margin into component margin. Named wins would be the strongest single de-risking event available.	Medium
Drawdown of the USD 200m ATM programme	Any time from Q2 2026	Negative. Approximately 7-8% potential dilution. Detectable in the Q2 and Q3 share count and cash balance.	Medium
Malaysia machining and aerospace/defence ramp	2026-2027	The only material diversification away from a 76% two-customer concentration. Currently too small to move the model but changes the multiple if it scales.	Medium
2027 WFE outlook formalisation	Q4 2026 / Jan 2027	Lam has already described the 2027 setup as extraordinary with 8-10 new fabs coming online and DRAM the fastest-growing segment. A formal 2027 WFE number materially above 2026 re-rates the whole subsystem complex.	Medium-High
Mexico facility reaching full internal absorption	2026-2027	Removes the external-supplier reliance that management has repeatedly cited as both a margin drag and a revenue cap. Directly lifts gross margin.	Medium

7.1 Q2 2026 earnings assessment — will they beat?

ELI5 — Why the bar is set where it is

Wall Street's 'consensus' for this quarter is USD 300.3m of revenue. Management guided USD 290-310m. The midpoint of that guide is USD 300m. In other words, the analysts have not built a view — they have copied the company's homework and handed it in. That matters, because when the bar is just an echo of guidance, the question stops being 'is the Street too high or too low?' and becomes 'does this company sandbag?' Ichor's recent answer has been yes.

The setup

Line	Q2 2026 guidance	Consensus	Consensus vs guide midpoint
Revenue	USD 290-310m (mid 300)	USD 300.3m	+0.1% — a mechanical plug
Gross margin	13.0-14.0% (mid 13.5%)	not separately polled	implied above midpoint, see below
Non-GAAP EPS	USD 0.25-0.35 (mid 0.30)	USD 0.31	+3.3% above midpoint
GAAP EPS	USD 0.10-0.20 (mid 0.15)	n/a	n/a
Implied YoY	n/a	Revenue +25.0%; EPS from USD 0.03	n/a

The asymmetry hiding in that table is worth stating explicitly. Consensus revenue sits exactly at the guide midpoint, but consensus EPS sits above it. For both to be correct, gross margin must land in the upper half of the 13-14% band. Consensus is therefore not a neutral bar — it is already assuming Ichor executes on margin. An in-line revenue quarter delivered at the midpoint gross margin of 13.5% produces roughly USD 0.28 of non-GAAP EPS on our arithmetic and would print as an EPS miss.

Evidence pointing to a beat

- The customer read-across is as strong as it gets. Lam Research — Ichor's largest customer and, with Applied Materials, 76% of FY25 sales — reported June-quarter revenue of USD 6.72bn on 29 July, up 15% sequentially and 30% year on year, above the top end of its own guidance, and guided the September quarter to USD 8.1bn, more than 20% sequential growth and roughly USD 1bn above consensus. Lam's June quarter overlaps almost exactly with Ichor's Q2, and Lam's September build was being sourced during it. Subsystems ship into the OEM ahead of tool shipment, so a Lam September quarter of that magnitude requires Ichor panels delivered in Ichor's Q2.

- Lam raised its calendar 2026 WFE view to the low-USD-150bn range from USD 140bn with upside bias, the second raise this year. Demand is not the constraint.
- Management's own pattern in this cycle is to guide wide and land high: Q3 2025 above the midpoint, Q4 2025 slightly above the midpoint on both revenue and gross margin, and Q1 2026 at the upper end on revenue, gross margin and EPS simultaneously, against a pre-announced floor of 'at least USD 240m' that was ultimately exceeded by 6.7%.
- The incremental margin arithmetic argues the gross margin guide is conservative. Q4 2025 to Q1 2026 dropped through at roughly 35% incremental. Even at a discounted 25% incremental on a USD 51m sequential revenue increase, gross margin lands near 14.8% — above the top of the guided band.
- Ichor-branded content is scheduled to rise through 2026 toward the 35% target, which is a mix tailwind independent of volume leverage.

Evidence capping the beat

- Ichor is supply-constrained, not demand-constrained. Management has been explicit that reliance on external suppliers persists while the Mexico operation ramps and that supply chain constraints have limited its ability to fully meet customer demand. This is a hard ceiling on revenue upside: Ichor cannot ship panels it cannot build, and no amount of Lam demand changes that within a quarter.
- The same external sourcing is a gross margin drag. Content Ichor intended to machine internally and is instead buying in carries a lower margin, which works directly against the mix thesis in the quarter it occurs.
- The USD 20m guidance range is wide, at plus or minus 3.3% of the midpoint. Landing at USD 310m would be only a 3.2% revenue beat versus consensus — a large beat relative to guidance is a small one relative to the bar.
- Tax is structurally elevated and easy to get wrong. The Singapore tax holiday has expired, there is a US deferred tax valuation allowance, and the geographic mix of taxable income is unfavourable. We model a non-GAAP effective rate of approximately 27%, derived from the Q1 bridge; a two-point error here is worth roughly USD 0.01 of EPS, and a reversion-to-history assumption of low-20s would overstate EPS by more.
- Opex is rising with the ramp. Headcount was added ahead of demand, and incentive compensation accrues against a strong quarter, so operating expense should scale above the flat-line assumption.

Scenario distribution

Scenario	Prob.	Revenue (USD m)	Non-GAAP GM	Non-GAAP op. margin	Non-GAAP EPS	vs consensus
Bear — supply constraint bites, mix drag	15%	290-296	12.9-13.2%	approx. 4.4%	0.23-0.26	Miss both lines
In-line — guide midpoint, midpoint margin	25%	298-303	13.4-13.7%	approx. 5.0%	0.27-0.30	Revenue in line, EPS slight miss
Base (modal) — upper end of guide, upper-half margin	37%	304-310	13.9-14.2%	approx. 5.6%	0.32-0.35	Beat both; revenue +1-3%, EPS +5-13%
Bull — above guide on both, mix and leverage compound	23%	312-320	14.4-14.9%	approx. 6.2%	0.37-0.41	Clear beat; EPS +20-30%

Modelling basis: diluted share count of approximately 35.5m, net interest expense of approximately USD 1.4m, non-GAAP operating expense of USD 25.0-26.0m scaling with revenue, and a non-GAAP effective tax rate of approximately 27% derived algebraically from the Q1 2026 bridge (non-GAAP operating income of USD 8.7m implied by 3.4% margin on USD 256.1m, less net interest, against reported non-GAAP net income of USD 5.3m). These are our estimates, not company disclosure, and are flagged accordingly in the verification log.

Our call

We expect Ichor to beat on both lines, with a modal outcome of revenue around USD 305-310m and non-GAAP EPS of USD 0.33-0.35 against consensus of USD 300.3m and USD 0.31. On our distribution, the probability of a revenue beat is approximately 70% and the probability of a non-GAAP EPS beat approximately 60%. Following the principle that a wide bull-bear range against a tight consensus bar should be reported as a modal outcome rather than a probability-weighted average, we state the base case explicitly rather than blending: USD 307m of revenue at 14.0% non-GAAP gross margin producing USD 0.33 of non-GAAP EPS.

The tipping variable is gross margin, not revenue. On a USD 305m base, each 50 basis points of gross margin is worth approximately USD 1.5m of gross profit and approximately USD 0.031 of non-GAAP EPS after tax. The difference between the bottom and the top of the guided 13-14% band is therefore roughly USD 0.06 of EPS — twice the size of the entire expected beat. By contrast, each USD 10m of incremental revenue at a 25% incremental gross margin is worth only about USD 0.05. Ichor could print USD 312m of revenue and still miss on EPS if gross margin comes in at 13.1%. If you are watching one number on the release, watch gross margin.

7.2 Why a beat may not be the trade

The most important precedent for positioning is the 4 May print. Ichor beat revenue (USD 256.1m versus USD 251.3m), beat EPS (USD 0.15 versus USD 0.13), and guided Q2 revenue to USD 290-310m against a USD 268.2m consensus and Q2 EPS to USD 0.25-0.35 against USD 0.22 — a guidance raise of roughly 12% on revenue and 40% on EPS. The stock fell 10% that afternoon, to USD 63. A beat-and-substantial-raise was not enough.

The setup into 3 August is different in one respect and similar in another. Different: the shares have already de-rated hard. ICHR closed at USD 75.27 on 31 July against a 52-week high of USD 113.58, roughly 34% below the peak, having fallen 13.9% in a single session in the last week of July — and it did so in the same week that Lam Research printed record results and raised WFE. That disconnection between fundamental news and price action suggests positioning unwind and multiple compression in a crowded small-cap semi-cap trade rather than a demand signal. Some froth has come out of the bar. Similar: at approximately 42.5x forward earnings against Ultra Clean at 24.6x, ICHR still carries a premium that only a credible path to mid-teens-plus gross margin justifies.

What the stock trades on, therefore, is the Q3 guide and the gross margin trajectory commentary, not the Q2 beat. Lam guided its September quarter to more than 20% sequential growth. If Ichor guides Q3 revenue to USD 345m or better — roughly 12% or more sequential on our base case — it is confirming that it is converting the customer's ramp rather than being left behind by it. A Q3 guide with a midpoint below roughly USD 335m, or gross margin guidance that fails to step above 14.5%, would read as a supply-constrained company unable to capture its own cycle, and we would expect the shares to fall on a Q2 beat exactly as they did on 4 May.

7.3 Key risks

Customer concentration is not a generic risk here; it is the business model. Lam Research and Applied Materials were 76% of FY2025 sales, up from 73% in FY2024, and the concentration is rising rather than falling. There are no long-term contracts and no minimum volume commitments — Ichor operates on a purchase-order basis. A single platform decision at Lam to insource a gas panel family, or a decision by Applied to shift share to Ultra Clean on a specific tool, could remove a high-single-digit percentage of revenue with roughly two quarters of notice and no contractual recourse. The mitigant is that these customers have deliberately maintained dual sourcing for two decades because variable-cost external capacity is exactly what a cyclical business wants; the risk is that this is a preference, not an obligation.

MKS Instruments defending the flow-control layer is the specific threat to the margin thesis. Ichor's advanced flow controller exists to displace MKS's mass flow controllers from Ichor's own panels. MKS has vastly greater R&D scale, is a profitable incumbent with room to price defensively, and sells directly to Lam and Applied on its own account. If MKS bundles flow with pressure and vacuum control in a package Ichor cannot replicate, or simply prices AFC displacement out of attractiveness, the Ichor-branded content figure stalls short of the 35% target. In that case Ichor remains a low-teens gross margin integrator, and a 42x forward multiple is not defensible on assembly economics.

Supply-side execution at Mexico is the risk that is already partially realised. Management has said plainly that external supplier reliance continues while Mexico ramps and that supply chain constraints have limited the ability to fully meet demand. This is simultaneously a revenue ceiling and a margin drag, and it arrives at the worst possible moment — the point in the cycle when the customer is ramping fastest. If Ichor under-ships demand for two or three consecutive quarters while Ultra Clean, which has stated its footprint supports approximately USD 3bn of revenue today and USD 4bn with modest incremental capital, does not, share loss on the next platform generation becomes a live possibility rather than a theoretical one.

Tax is a modelling risk that becomes a reporting risk. The Q1 2026 effective rate was sharply elevated by three separate effects — foreign income mix, the expiry of the Singapore tax holiday, and a US deferred tax valuation allowance. The Singapore effect is permanent. The valuation allowance means US losses generate no tax benefit and its eventual release will produce a large, non-recurring, non-cash GAAP gain that will flatter a future quarter and tell you nothing about the business. The practical consequence is that GAAP and non-GAAP EPS will continue to diverge substantially, and any model carrying a pre-2026 effective tax rate forward will materially overstate earnings.

Dilution via the at-the-market programme is a discrete, management-controlled risk. The USD 200m authorisation announced on 18 May 2026 is roughly 7-8% of the current market capitalisation, and it was put in place after a share price move of several hundred percent while free cash flow was negative. Issuance into an already-crowded small-cap semi-cap trade, at a moment when the shares have fallen 34% from their high, would be poorly received.

Cycle timing risk deserves naming even though the current data is uniformly positive. Ichor's revenue is a first derivative of tool shipments, which are themselves a derivative of fab capex decisions taken twelve to eighteen months earlier. The downside beta is documented: FY2025 produced a net loss of USD 52.8m on USD 947.7m of revenue, and Q4 2025 gross margin fell to 9.4%. The same operating leverage that makes the bull case compelling operates in reverse with equal force. A memory capex digestion pause in 2027 — the segment Lam identifies as the fastest-growing into next year and therefore the one carrying the most forward expectation — would hit Ichor's revenue and gross margin simultaneously and disproportionately.

8 VALUATION CONTEXT

ELI5 — Paying up for a thinner margin

Ichor and Ultra Clean do broadly the same thing. Ultra Clean is twice the size and makes a better margin today, yet it trades on about 25 times forward earnings while Ichor trades on about 42 times. That is not the market being irrational — it is the market saying Ichor's margin has further to travel. A company earning 13 cents of gross profit per dollar that could earn 17 cents has vastly more percentage upside than one already earning 16.5. You are paying a premium for the size of the gap, which means you are also underwriting the gap actually closing.

Metric	Ichor (ICHR)	Ultra Clean (UCTT)	MKS Instruments (MKSI)
Market cap	USD 2.5-2.7bn	USD 3.6-3.8bn	USD 12-15bn (approx.)

Metric	Ichor (ICHR)	Ultra Clean (UCTT)	MKS Instruments (MKS)
Share price (31 Jul 2026 close)	USD 75.27	USD 83.31	n/a
Revenue (TTM)	USD 959m	USD 2.07bn	approx. USD 4.5-4.8bn (FY26E)
Revenue growth (TTM YoY)	+7.5%	-3.2%	approx. +13-15%
Gross margin (latest qtr)	12.8% non-GAAP	16.5% total (14.6% product, 30.0% services)	approx. 47-48% group
Forward P/E	approx. 42.5x	approx. 24.6x	approx. 25-27x
EV/Revenue (approx., TTM)	approx. 2.8x	approx. 1.9x	approx. 3.0-3.3x
Shares outstanding	34.87m	44.83m	approx. 67m
Beta	1.78	1.83	approx. 1.5-1.7
52-week range	USD 13.12 - 113.58	USD 21.28 - 144.22	n/a
Discount to 52-week high	approx. 34%	approx. 42%	n/a
End-market exposure	WFE only; 76% Lam + Applied; small A&D machining	WFE-dominant plus a services annuity; <5% domestic China	WFE plus electronics and packaging plus specialty industrial — the most diversified of the three
Next earnings	3 Aug 2026	3 Aug 2026	reported; next Q4 2026 (est.)

Market capitalisations are presented as ranges given intraday and source dispersion; MKS figures are approximations pending verification and are flagged in the verification log. Forward P/E multiples are aggregator-sourced and rest on differing consensus estimate sets, so the comparison is directionally useful rather than precise. Note also that both ICHR and UCTT report on 3 August, so both multiples will be re-based within twenty-four hours of this report.

The structural observation is that Ichor trades at roughly 1.7 times Ultra Clean's forward multiple and roughly 1.5 times its EV/revenue while generating a gross margin nearly four percentage points lower and carrying materially higher customer concentration. The entirety of that premium is a bet on margin convergence and then overshoot, driven by proprietary content. It is not a bet on volume — both companies get the same cycle.

8.1 Bull case

WFE runs at the low-USD-150bn level in 2026 and higher again in 2027, with Lam already describing the 2027 setup as extraordinary on the back of 8-10 new fabs and DRAM as the fastest-growing segment. Ichor exits 2026 at a USD 330-350m quarterly revenue run rate, or roughly USD 1.3-1.4bn annualised. Mexico absorbs internally, removing both the revenue ceiling and the external-sourcing margin drag. Ichor-branded content hits the 35% target and keeps climbing toward the next-generation panel's approximately 80% design point as new tool platforms cycle in, with the AFC qualified across multiple etch and deposition applications. Gross margin reaches 16-18%, and on roughly USD 25-26m of quarterly operating expense that produces operating margins near 9-11% and annualised non-GAAP EPS in the USD 2.50-3.50 range. At that point a 42x trailing multiple resolves into something closer to 25x on delivered earnings without the share price moving at all — and if the market instead holds the multiple, the shares re-rate substantially. The aerospace and defence machining business provides an emerging second leg that gradually reduces the two-customer discount.

8.2 Bear case

The proprietary content thesis is a design win, not a revenue win. MKS defends the flow-control layer on price and integration, AFC qualification stretches across multiple nine-month evaluation cycles, and Ichor-branded content lands at 29-31% rather than 35% by end-2026. Mexico continues to require external

sourcing into 2027, capping revenue below customer demand and holding gross margin in the 13-14% band rather than the mid-to-high teens. Meanwhile the structurally elevated tax rate from the expired Singapore holiday keeps net income well below what the gross margin line suggests, and the USD 200m ATM is drawn, adding 7-8% dilution. On that path Ichor is a 13.5%-gross-margin assembler with 76% customer concentration, no long-term contracts, and annualised non-GAAP EPS nearer USD 1.40-1.60 — which at Ultra Clean's 24.6x multiple implies a share price in the mid-USD-30s to low-USD-40s. The de-rating triggers are identifiable in advance: a Q3 revenue guide below approximately USD 335m, gross margin guidance that fails to step above 14.5%, an ATM drawdown appearing in the share count, or any commentary walking back the 35% content target. The 4 May precedent — a beat-and-raise met with a 10% decline — plus the 13.9% single-session fall in late July in the same week Lam printed records, shows how quickly this name de-rates when the narrative wobbles.

9 WHAT MOVES IT NEXT

ELI5 — Triaging where to spend your attention

Across a coverage universe there are more earnings dates than there are hours to prepare for them. This section reduces each name to the single number that will decide how its shares trade on the day, so that research time goes to the print where the outcome is genuinely uncertain and the position is genuinely at risk — rather than being spread evenly across everything.

Company	Next earnings	Days away	The one metric	Why it matters
Ichor Holdings (ICHR)	Mon 3 Aug 2026 (Q2 2026), after close	1	Q3 2026 revenue guidance midpoint versus a USD 335m threshold — and, on the Q2 print itself, non-GAAP gross margin versus the 14.0% upper half of guidance	Lam guided its September quarter to more than 20% sequential growth. A Q3 guide at USD 345m or better confirms Ichor is converting its customer's ramp; below approximately USD 335m signals a supply-constrained supplier being left behind by its own cycle. On the quarter itself, 50bp of gross margin is worth approximately USD 0.031 of EPS — twice the leverage of USD 10m of revenue.
Ultra Clean Holdings (UCTT)	Mon 3 Aug 2026 (Q2 2026), after close	1	Product gross margin versus the 14.6% posted in Q1, and the Q3 guide against the stated USD 3bn footprint capacity	Reports the same afternoon as Ichor, so it is both the cleanest comparison and an immediate sympathy driver. If UCTT expands product margin while Ichor does not, the relative-multiple argument in Section 8 inverts and the ICHR premium becomes very hard to defend.
Applied Materials (AMAT)	Mid-Aug 2026 (fiscal Q3) (est.)	approx. 12-16	October-quarter revenue guidance and any commentary on subsystem outsourcing share	Ichor's second 10%-plus customer. Lam has already delivered its read-across; AMAT is the outstanding half of the 76% concentration and the swing factor for Ichor's Q4 order book.
Lam Research (LRCX)	Late Oct 2026 (fiscal Q1 2027) (est.)	approx. 88	First formal calendar 2027 WFE figure against the low-USD-150bn 2026 base	Ichor's single largest customer and the sector's WFE oracle. Lam has already flagged 2027 as extraordinary; the formal number is what re-rates or de-rates the entire subsystem complex, Ichor most of all given its higher beta of 1.78.
MKS Instruments (MKSI)	Q4 2026 (est.)	n/a	Vacuum Solutions Division margin and any commentary on flow-control competitive displacement	The counterparty to Ichor's margin thesis. Evidence that MKS is defending MFC share aggressively is the clearest external falsification of the proprietary-content case.

Prioritisation: tomorrow afternoon dominates everything else on this list, and the reason is not that Ichor is reporting — it is that Ichor and Ultra Clean report within minutes of each other, which means the two datapoints that would ordinarily inform each other arrive simultaneously and get traded simultaneously.

There is no sequencing advantage available. Prepare for both before the close on Monday rather than either one after it. Within that hour, the reading order that matters is: Ichor's Q3 revenue guide first, Ichor's Q2 gross margin second, Ultra Clean's product gross margin third. The Q2 beat itself — which we expect — is the least informative number in the release, because consensus is a mechanical echo of guidance and beating it changes nothing about the 2027 earnings power that the 42x multiple is discounting. Applied Materials in mid-August is the follow-up that either broadens the demand base or confirms that Ichor's fortunes now rest predominantly on a single customer.

A APPENDIX — VERIFICATION LOG

Report: Ichor Holdings (ICHR) — Initiation and Q2 2026 Earnings Assessment. Verification date: 2 August 2026. Companies checked: 5. Verified clean: 3. Flagged: 2. Unverifiable: 0.

Claim / entity	Status	Note
ICHR — ticker, exchange, market cap USD 2.62bn, 34.87m shares, USD 75.27 close 31 Jul 2026	CLEAN	Confirmed NASDAQ: ICHR. Cross-checked against aggregator data as at 1 Aug 2026. Presented as a USD 2.5-2.7bn range per house convention.
ICHR Q1 2026: revenue USD 256.1m, GAAP GM 12.6%, non-GAAP GM 12.8%, GAAP EPS (0.07), non-GAAP EPS 0.15	CLEAN	Confirmed against the 4 May 2026 earnings release and Form 10-Q. Non-GAAP GM of 12.8% is from the earnings call; the 12.6% figure is the GAAP number in the release.
ICHR Q2 2026 guidance: revenue USD 290-310m, GM 13-14%, non-GAAP EPS 0.25-0.35, GAAP EPS 0.10-0.20; earnings date 3 Aug 2026 after close	CLEAN	Confirmed against the Q1 2026 release and the 13 Jul 2026 earnings-date announcement. Call at 1:15pm Pacific.
LRCX June 2026 quarter: revenue USD 6.72bn, GM 51.7%, diluted EPS 1.81 GAAP / 1.82; Sept guide USD 8.1bn +/- 0.4bn, EPS 2.15; WFE raised to low-USD-150bn	CLEAN	Confirmed against the Lam Research release of 29 July 2026.
UCTT: USD 83.31 close 31 Jul 2026, market cap USD 3.73bn, TTM revenue USD 2.07bn, forward P/E 24.6x, Q2 guide USD 565-605m	CLEAN	Confirmed. Reports 3 Aug 2026, same session as ICHR.
Consensus Q2 2026: revenue USD 300.33m, non-GAAP EPS USD 0.31	FLAGGED	Single-source (Zacks, via syndicated preview, late July 2026). Consensus sets differ by provider and by the number of contributing analysts — ICHR is covered by roughly 5-7 firms. Treat as approximate; the qualitative point that consensus revenue equals the guidance midpoint is robust regardless of the exact figure.
MKS Instruments comparative data — market cap, forward P/E, FY26E revenue and gross margin	FLAGGED	Forward P/E of approximately 25-27x is sourced to early-June 2026 datapoints and has not been refreshed to 31 July. Market cap and group gross margin are approximations. Directional only; not used in any quantitative conclusion.
ICHR gross-panel content: approximately 10% legacy, approximately 80% next-generation design point, 25% end-2025 to 35% end-2026 target	EST.	The 10%/80% figures derive from management commentary on the Q2 2024 call and describe an engineering design point, not a current revenue mix. The 25%/35% figures are current management targets. Adoption timing is our estimate.
ICHR Q2 2026 scenario model — revenue, gross margin, operating margin and EPS by scenario; approximately 27% non-GAAP tax rate; USD 25-26m non-GAAP opex; approximately 35.5m diluted shares	EST.	Entirely our own estimates, derived algebraically from the Q1 2026 non-GAAP bridge. Not company guidance. The tax rate in particular is an inference from the Q1 non-GAAP net income reconciliation, not a disclosed figure.

Claim / entity	Status	Note
Supplier names (MKS, Horiba, Bruker, Fujikin, Swagelok, Parker, CKD, Ham-Let)	EST.	Ichor does not publicly name its component suppliers. These are the credible merchant suppliers in each category based on industry structure, not confirmed Ichor vendor relationships. Treat the category concentration as the finding; treat individual names as indicative.
Outsourced gas panel market share estimate for ICHR (25-35%)	EST.	No reliable third-party market share data exists for this segment. Derived from the relative revenue scale of the two credible independents. Directional only.
FY2024 and FY2025 gross margin figures in the Section 6 table	EST.	Approximations derived from reported full-year figures rather than lifted directly from a single disclosure line. Quarterly figures in the same table are confirmed.
Insider transactions: CEO Barros 13,705 shares at USD 70.19 (4 Jun 2026) and 21,000 shares (26 Feb 2026); CFO Swyt 6,820 shares at USD 66.81 (8 Jun 2026); 10b5-1 plans adopted Feb-Mar 2026	CLEAN	Confirmed against Form 4 filings. Aggregate net insider selling over twelve months is a third-party aggregation and varies by source between roughly USD 0.5m and USD 2.9m depending on treatment of option exercises.
Customer concentration 76% of FY2025 sales (Lam + Applied); 73% in FY2024; ASML third largest in 2025	CLEAN	Confirmed against the FY2025 Form 10-K.
USD 200m ATM programme and mixed securities shelf, 18 May 2026; Portnoy Law Firm investigation announced 1 Apr 2026	CLEAN	Both confirmed as announced. Neither the extent of ATM drawdown nor any substantive litigation has been verified — no complaint with specific allegations has been identified.

Corrections applied: no factual corrections were required during verification. Two presentational adjustments were made — market capitalisations converted to ranges per house convention, and WFE market-size figures explicitly labelled as vendor and industry-body forecasts rather than as estimates of realised spending. One naming correction: a widely syndicated transcript summary of the Q1 2026 call attributes CEO remarks to 'Tom Rohrs' and CFO remarks to 'Larry Sparks'; the primary transcript shows Philip Barros as CEO, and Greg Swyt is the incumbent CFO. The syndicated attribution was not used.

B APPENDIX — ACRONYM GLOSSARY

Acronym	Expansion	Meaning in context
A&D	Aerospace and Defence	Ichor's non-semiconductor machining end market.
AFC	Advanced Flow Controller	Ichor's patented flow-control device, designed to replace third-party MFCs.
ALD / ALE	Atomic Layer Deposition / Atomic Layer Etch	Self-limiting, cycle-based process steps requiring fast, clean gas pulsing.
ASP	Average Selling Price	Revenue per unit shipped.
ATM	At-The-Market (offering)	An equity programme allowing share issuance into the open market over time.
CMP	Chemical-Mechanical Planarisation	A wet polishing step; served by Ichor's chemical delivery subsystems.
EPS	Earnings Per Share	Reported here on both GAAP and non-GAAP bases.
GAA	Gate-All-Around	The transistor architecture succeeding FinFET; adds process steps in logic.
GAAP	Generally Accepted Accounting Principles	US reporting standard. Ichor's GAAP and non-GAAP EPS diverge widely on tax.
HBM	High-Bandwidth Memory	Vertically stacked DRAM used in AI accelerators; a key driver of memory WFE.
MFC	Mass Flow Controller	The conventional gas metering device Ichor's AFC is designed to displace.
NAND	NAND flash memory	Non-volatile storage; scaling by layer count drives etch and deposition steps.
OEM	Original Equipment Manufacturer	Ichor's direct customers: Lam Research, Applied Materials, ASML.
QoQ / YoY	Quarter on Quarter / Year on Year	Sequential and annual growth.

Acronym	Expansion	Meaning in context
sccm	Standard Cubic Centimetres per Minute	The unit of gas flow; Ichor's AFC controls to 0.01 sccm.
SEMI	Semiconductor Equipment and Materials International	The industry trade body publishing WFE forecasts.
TTM	Trailing Twelve Months	The most recent four reported quarters.
WFE	Wafer Fab Equipment	The total market for chipmaking tools; Ichor's demand driver.

C APPENDIX — DISCLAIMER

This report is prepared for internal buy-side research purposes only. It is not investment advice, an offer, or a solicitation to buy or sell any security. It contains no price target and no buy, sell or hold recommendation, consistent with house convention.

All figures are drawn from company filings, earnings releases, earnings call transcripts, and third-party financial data aggregators as at 2 August 2026. Where sources conflict, the conflict is disclosed rather than resolved silently. Items marked EST. in the verification log are the author's estimates and are not company disclosure; items marked FLAGGED carry a known sourcing limitation. The Q2 2026 scenario model in Section 7 is an estimate constructed from the Q1 2026 non-GAAP reconciliation and should be treated as a framework for interpreting the actual release, not as a forecast of record.

Ichor Holdings reports its second quarter 2026 results after the market close on Monday 3 August 2026, one day after the date of this report. Every forward-looking statement in Sections 7, 8 and 9 is written in advance of that release and will be wholly or partly superseded by it. The scenario probabilities are the author's subjective assessments, not statistical estimates, and are stated to make the reasoning auditable rather than to convey precision.

Past performance is not indicative of future results. Semiconductor capital equipment subsystem suppliers exhibit high earnings volatility and elevated equity beta; Ichor's is 1.78 and its shares have traded between USD 13.12 and USD 113.58 over the trailing twelve months. Position sizing should reflect that dispersion.